Type MS · Will profit (or working capital) go up, down or stay the same?

Answer 1 of 17 · Question 5 part whole · 1 mark

2024 NOV · Paper 01 · find part whole in this mark scheme extract

5	**B Settlement of a business debt with discount**	**(1)**

Type MS · Will profit (or working capital) go up, down or stay the same?

Answer 2 of 17 · Question 7 part whole · 1 mark

2020 NOV · Paper 01 · find part whole in this mark scheme extract

7	**The only correct answer is D - Profit for the year understated** A is not correct because gross profit would not be affected B is not correct because gross profit would not be affected C is not correct because profit for the year would not be overstated	**(1)**

Type MS · Will profit (or working capital) go up, down or stay the same?

Answer 3 of 17 · Question 8 part whole · 1 mark

2022 JUN · Paper 01 · find part whole in this mark scheme extract

8	**C**	**Profit for the year overstated**	**(1)**

Type MS · Will profit (or working capital) go up, down or stay the same?

Answer 4 of 17 · Question 18 part c.i · 1 mark

2023 NOV · Paper 01 · extract 1 of 2 · find part c.i in this mark scheme extract

Number		
18(a)	**Award up to 2 marks.** Depreciation is an estimate of the loss in value of a non-current asset **(1)** which should be matched against the revenue generated **(1)** **Accept any other appropriate responses.**	**(2)**

Question Number	Answer	Mark
18(b)	**Award one mark for correct figures as indicated.** **Award one mark for all correct dates and details.**	**(9)**

Motor Vehicles - Cost Account

Date	Details	$	Date	Details	$
Jan 1	Balance b/d	76 600 **(1)**	Mar 1	Disposal	18 000 **(1)**
Jun 1	Cash book / bank	21 500 **(1)**	Dec 31	Balance c/d	80 100
		98 100			98 100
Jan 1	Balance b/d	80 100 **(1)**			

Disposal Account

Date	Details	$	Date	Details	$
Mar 1	Motor vehicles – (cost)	18 000 **(1)**	Mar 1	(Motor vehicles) – provision for depreciation	7 875 **(1)**
Dec 31	Income statement	1 875 **(1of)**		Cash book/ bank	12 000 **(1)**
		19 875			19 875

Type MS · Will profit (or working capital) go up, down or stay the same?

Answer 4 of 17 · Question 18 part c.i · 1 mark

2023 NOV · Paper 01 · extract 2 of 2 · find part c.i in this mark scheme extract

Question Number	Answer	Mark
18(c)(i)	**Award mark as indicated.** Overstated | Understated | No effect | (✓)(1)	**(1)**

Question Number	Answer	Mark
18(c)(ii)	**Award up to 3 marks.** The purchase of a new motor vehicle will benefit the business for more than one year **(1)** If the purchase of a new motor vehicle is not treated as capital expenditure it would result in non-current assets being understated **(1)** and the profit for the year also being understated **(1).** **Accept any other appropriate responses.**	**(3)**

TOTAL FOR QUESTION 18 = 15 MARKS

Type MS · Will profit (or working capital) go up, down or stay the same?

Answer 5 of 17 · Question 17 part b.iii · 1 mark

2025 NOV · Paper 01 · extract 1 of 2 · find part b.iii in this mark scheme extract

17(a)(i)	**Award 1 mark for identification and 1 mark for linked development.** The purchase or improvement of a **non-current asset (1)** with the benefit expected to last **more than one year** / appears on the **statement of financial position (1).**	**(2)**

Question Number	Answer	Mark
17(a)(ii)	**Award 1 mark for identification and 1 mark for linked development.** The **day-to-day running costs** of the business **(1)** with the benefit expected to last **less than one year** / appears on the **income statement (1).**	**(2)**

Question Number	Answer	Mark
17(b)(i)	**Award mark as indicated.** $46 400 **(1)**	**(1)**

Question Number	Answer	Mark
17(b)(ii)	**Award mark as indicated.** $2 300 **(1)**	**(1)**

Question Number	Answer	Mark
17(b)(iii)	**Award mark as indicated.** Overstated: Understated: No effect: ✓ **(1)**	**(1)**

Type MS · Will profit (or working capital) go up, down or stay the same?

Answer 5 of 17 · Question 17 part b.iii · 1 mark

2025 NOV · Paper 01 · extract 2 of 2 · find part b.iii in this mark scheme extract

Question Number	Answer	Mark
17(c)(i)	**Award mark as indicated.** $23 360 **(1)**	**(1)**

Question Number	Answer	Mark
17(c)(ii)	**Award marks for correct details and amounts in combination.**	**(7)**

Disposal Account

Date	Details	$	Date	Details	$
2024 Aug 1	Machinery cost	36 500 (1)	2024 Aug 1	Machinery provision for depreciation	13 140 (2/1of)
2025 Jun 30	Income statement	1 240 (2/1of)		Cash book /Bank	8 200 (1)
				(Gerhardt) loan	16 400 (1)
		37 740			37 740

TOTAL FOR QUESTION 17 = 15 MARKS

Type MS · Will profit (or working capital) go up, down or stay the same?

Answer 6 of 17 · Question 10 part whole · 1 mark

2020 JAN · Paper 01 · extract 1 of 2 · find part whole in this mark scheme extract

10	**A** Non-current assets overstated; Profit for the year overstated	**(1)**

TOTAL FOR QUESTIONS 1-10 = 10 MARKS

Type MS · Will profit (or working capital) go up, down or stay the same?

Answer 6 of 17 · Question 10 part whole · 1 mark

2020 JAN · Paper 01 · extract 2 of 2 · find part whole in this mark scheme extract

Question number	Answer	Mark

Type MS · Will profit (or working capital) go up, down or stay the same?

Answer 7 of 17 · Question 10 part whole · 1 mark

2020 NOV · Paper 01 · find part whole in this mark scheme extract

10	**The only correct answer is D - Other receivables understated** A is not correct because rent paid in advance would not affect gross profit B is not correct because rent paid in advance would not affect gross profit C is not correct because rent paid in advance would not overstate other receivables	**(1)**

Type MS · Will profit (or working capital) go up, down or stay the same?

Answer 8 of 17 · Question 9 part whole · 1 mark

2022 JUN · Paper 01 (regional R) · find part whole in this mark scheme extract

9	D	Other payables understated	(1)
		Account to be	Account to be

Type MS · Will profit (or working capital) go up, down or stay the same?

Answer 9 of 17 · Question 5 part whole · 1 mark

2023 JUN · Paper 01 (regional R) · find part whole in this mark scheme extract

5	**C Profit for the year decreases**	**(1)**

Type MS · Will profit (or working capital) go up, down or stay the same?

Answer 10 of 17 · Question 18 part d · 2 marks

2025 JUN · Paper 01 (regional R) · extract 1 of 2 · find part d in this mark scheme extract

18(a)	**Award mark as indicated.** Prudence **(1)**	**(1)**

Question Number	Answer	Mark
18(b)	**Award one mark for each identification of a method and one mark for development. Max 4 marks** • Asif could offer his trade receivables a **cash discount (1)** if they pay their accounts within a specified period **(1).** • Asif could ensure that regular **monthly statements** are sent to his trade receivables **(1)** which should remind them to pay the amount due **(1)**. • Asif could charge **interest** on late payment of accounts **(1)** which would encourage customers to settle their accounts to avoid the charge **(1).**	**(4)**

Question Number	Answer	Mark
18(c)	**Award marks for correct dates, details and amounts in combination.** **Provision for Irrecoverable Debts Account**	**(3)**

Date	Details	$	Date	Details	$
Dec 31	Balance c/d	560	Jan 1	Balance b/d	480 **(1)**
			Dec 31	Income statement	80 **(1)**
		560			560
			Jan 1	Balance b/d	560 **(1)**

Type MS · Will profit (or working capital) go up, down or stay the same?

Answer 10 of 17 · Question 18 part d · 2 marks

2025 JUN · Paper 01 (regional R) · extract 2 of 2 · find part d in this mark scheme extract

Question Number	Answer	Mark
18(d)	**Award one mark for identification and one mark for development.** **Sample answer** His profit for the year would **increase (1)** as the trade receivables have **decreased** so the provision would also **decrease (1)** **Accept any other appropriate responses.**	**(2)**

Question Number	Answer	Mark
18(e)	**Award up to two marks for an advantage and up to two marks for a disadvantage. Award one mark for overall advice.** **Sample answer** If Asif starts selling goods for cash only, he may lose some customers **(1)** resulting in a decrease in the profit for the year **(1)** However, he will not incur any irrecoverable debts and there will be no need to maintain an allowance for irrecoverable debts **(1)** which will improve his profitability. **(1)** I believe he should proceed with his proposal and start selling goods for cash only. **(1)** **Accept any other appropriate responses.**	**(5)**

TOTAL FOR QUESTION 18 = 15 MARKS

Type MS · Will profit (or working capital) go up, down or stay the same?

Answer 11 of 17 · Question 15 part c · 6 marks

2019 JUN · Paper 01 (regional R) · extract 1 of 2 · find part c in this mark scheme extract

15(a) **Award marks as indicated**

Error	Type of error
2	Principle **(1)**
5	Omission **(1)**
6	Transposition **(1)**

(3)

Question number	Answer	Mark
15(b)	**Award marks for correct date, details and amounts in combination.**	

Suspense Account

Date	Details	$	Date	Details	$
2019 30 April	Balance b/d	580 **(1)**	2019 30 April	Sales	200 **(1)**
	Discount received	80 **(1)**		Raul	450 **(1)**
	Discount allowed	80 **(1)**		Rent	90 **(1)**
		740			740

(6)

Type MS · Will profit (or working capital) go up, down or stay the same?

Answer 11 of 17 · Question 15 part c · 6 marks

2019 JUN · Paper 01 (regional R) · extract 2 of 2 · find part c in this mark scheme extract

<table>
<tr><th>Question number</th><th>Answer</th><th>Mark</th></tr>
<tr><td>15(c)</td><td>Award marks as indicated
<table>
<tr><th>Error</th><th>Increase</th><th>Decrease</th><th>No effect</th></tr>
<tr><td>1</td><td></td><td>✓ (1)</td><td></td></tr>
<tr><td>2</td><td></td><td>✓ (1)</td><td></td></tr>
<tr><td>3</td><td></td><td></td><td>✓(1)</td></tr>
<tr><td>4</td><td>✓ (1)</td><td></td><td></td></tr>
<tr><td>5</td><td>✓ (1)</td><td></td><td></td></tr>
<tr><td>6</td><td></td><td>✓ (1)</td><td></td></tr>
</table></td><td>(6)</td></tr>
</table>

TOTAL FOR QUESTION 15 = 15 MARKS

Type MS · Will profit (or working capital) go up, down or stay the same?

Answer 12 of 17 · Question 15 part b · 3 marks

2023 NOV · Paper 01 · extract 1 of 3 · find part b in this mark scheme extract

Number		
15(a)	**Award 1 mark for correct figures with account names.**	**(6)**

	Account	Debit $	Credit $
August 31	Drawings	650 (1)	
	Cash		650 (1)
	Motor expenses	234 (1)	
	Motor vehicles		234 (1)
	General expenses	9 (1)	
	Bank		9 (1)

Type MS · Will profit (or working capital) go up, down or stay the same?

Answer 12 of 17 · Question 15 part b · 3 marks

2023 NOV · Paper 01 · extract 2 of 3 · find part b in this mark scheme extract

<table>
<tr><th>Question Number</th><th>Answer</th><th>Mark</th></tr>
<tr><td>15(b)</td><td>Award marks as indicated.
<table>
<tr><th>Error</th><th>Increase</th><th>Decrease</th><th>No effect</th></tr>
<tr><td>1</td><td></td><td></td><td>(✓)(1)</td></tr>
<tr><td>2</td><td></td><td>(✓)(1)</td><td></td></tr>
<tr><td>3</td><td></td><td>(✓)(1)</td><td></td></tr>
</table></td><td>(3)</td></tr>
</table>

Type MS · Will profit (or working capital) go up, down or stay the same?

Answer 12 of 17 · Question 15 part b · 3 marks

2023 NOV · Paper 01 · extract 3 of 3 · find part b in this mark scheme extract

Question Number	Answer	Mark
15(c)	**Award mark as indicated.** Suspense **(1)**	**(1)**

Question Number	Answer	Mark
15(d)(i)	**Award 1 mark for identification and 1 mark for linked development.** A trial balance provides a summary of the account balances **(1)** which is useful in the preparation of the financial statements **(1).** **Accept any other appropriate responses.**	**(2)**

Question Number	Answer	Mark
15(d)(ii)	**Award up to 2 marks for a limitation and 1 mark for identifying an error.** Some errors will not be identified **(1)** for example an error of commission **(1)** as these errors do not affect the balancing of the trial balance **(1)** **Accept any other appropriate responses.**	**(3)**

TOTAL FOR QUESTION 15 = 15 MARKS

Type MS · Will profit (or working capital) go up, down or stay the same?

Answer 13 of 17 · Question 14 part c.i · 2 marks

2023 JUN · Paper 01 · extract 1 of 2 · find part c.i in this mark scheme extract

14(a) **Award marks as indicated**

Trial balance at 30 April 2023		
	Debit **$**	**Credit** **$**
Bank loan		18 450**(1)**
Carriage inwards	183**(1)**	
Cash	3 964	
Drawings	19 730	
Equipment - cost	37 860**(1)**	
Equipment - provision for depreciation		13 940**(1)**
Equity		28 500
General expenses	21 010	
Inventory at 1 May 2022	23 940**(1)**	
Purchases	69 875	
Revenue		136 210
Trade payables ledger control account		8 352**(1)**
Trade receivables ledger control account	17 197**(1)**	
Wages	6 000	
Suspense	5 693 **+Words(1)**	
Total	205 452	205 452 **(1fb)**

(9)

Type MS · Will profit (or working capital) go up, down or stay the same?

Answer 13 of 17 · Question 14 part c.i · 2 marks

2023 JUN · Paper 01 · extract 2 of 2 · find part c.i in this mark scheme extract

<table>
<tr><th>Question Number</th><th>Answer</th><th>Mark</th></tr>
<tr><td>14(b)</td><td>Award marks as indicated.
<table>
<tr><th>Scenario</th><th>Type of error</th></tr>
<tr><td>Cash drawings of $175 had not been recorded.</td><td>Omission (1)</td></tr>
<tr><td>Wages of $180 had been recorded in the cash book as $80</td><td>Original entry (1)</td></tr>
</table></td><td>(2)</td></tr>
</table>

Question Number	Answer	Mark
14(c)(i)	**Award 1 mark for each valid point up to a maximum of 2 marks.** **Sample answer** Owner's equity would be overstated **(1)** as cash drawings reduce owner's equity **(1).** **Accept any other appropriate responses.**	**(2)**

Question Number	Answer	Mark
14(c)(ii)	**Award 1 mark for each valid point up to a maximum of 2 marks.** **Sample answer** Owner's equity would be overstated **(1)** as expenses were understated **(1).** **Accept any other appropriate responses.**	**(2)**

TOTAL FOR QUESTION 14 = 15 MARKS

Type MS · Will profit (or working capital) go up, down or stay the same?

Answer 14 of 17 · Question 14 part c.ii · 2 marks

2023 JUN · Paper 01 · extract 1 of 2 · find part c.ii in this mark scheme extract

Number		
14(a)	**Award marks as indicated**	

Trial balance at 30 April 2023

	Debit $	Credit $
Bank loan		18 450**(1)**
Carriage inwards	183**(1)**	
Cash	3 964	
Drawings	19 730	
Equipment - cost	37 860**(1)**	
Equipment - provision for depreciation		13 940**(1)**
Equity		28 500
General expenses	21 010	
Inventory at 1 May 2022	23 940**(1)**	
Purchases	69 875	
Revenue		136 210
Trade payables ledger control account		8 352**(1)**
Trade receivables ledger control account	17 197**(1)**	
Wages	6 000	
Suspense	5 693 **+Words(1)**	
Total	205 452	205 452 **(1fb)**

(9)

Type MS · Will profit (or working capital) go up, down or stay the same?

Answer 14 of 17 · Question 14 part c.ii · 2 marks

2023 JUN · Paper 01 · extract 2 of 2 · find part c.ii in this mark scheme extract

<table>
<tr><th>Question Number</th><th>Answer</th><th>Mark</th></tr>
<tr><td>14(b)</td><td>Award marks as indicated.
<table>
<tr><th>Scenario</th><th>Type of error</th></tr>
<tr><td>Cash drawings of $175 had not been recorded.</td><td>Omission (1)</td></tr>
<tr><td>Wages of $180 had been recorded in the cash book as $80</td><td>Original entry (1)</td></tr>
</table></td><td>(2)</td></tr>
</table>

Question Number	Answer	Mark
14(c)(i)	**Award 1 mark for each valid point up to a maximum of 2 marks.** **Sample answer** Owner's equity would be overstated **(1)** as cash drawings reduce owner's equity **(1).** **Accept any other appropriate responses.**	**(2)**

Question Number	Answer	Mark
14(c)(ii)	**Award 1 mark for each valid point up to a maximum of 2 marks.** **Sample answer** Owner's equity would be overstated **(1)** as expenses were understated **(1).** **Accept any other appropriate responses.**	**(2)**

TOTAL FOR QUESTION 14 = 15 MARKS

Type MS · Will profit (or working capital) go up, down or stay the same?

Answer 15 of 17 · Question 2 part c · 3 marks

2019 JUN · Paper 02 (regional R) · extract 1 of 3 · find part c in this mark scheme extract

2(a) **Award marks as indicated**

Item	Manufacturing account	Income statement	Statement of financial position
Accumulated depreciation – plant and machinery			✓ (1)
Carriage outwards		✓ (1)	
Factory supervisor's salary	✓ (1)		
Purchase of finished goods		✓ (1)	
Returns outwards	✓ (1)		
Royalties paid	✓ (1)		

(6)

Type MS · Will profit (or working capital) go up, down or stay the same?

Answer 15 of 17 · Question 2 part c · 3 marks

2019 JUN · Paper 02 (regional R) · extract 2 of 3 · find part c in this mark scheme extract

<table>
<tr><th>Question number</th><th>Answer</th><th>Mark</th></tr>
<tr><td>2(b)</td><td>Award marks as indicated.
Award one mark for all correct labels.

Dumadi
Manufacturing account for the year ended 31 March 2019

<table>
<tr><th></th><th>$</th><th>$</th></tr>
<tr><td>Prime cost</td><td></td><td>274 410</td></tr>
<tr><td>Overhead costs</td><td></td><td></td></tr>
<tr><td>Indirect factory wages</td><td>16 320(1)</td><td></td></tr>
<tr><td>Light, heat and power</td><td>9 620 (1)</td><td></td></tr>
<tr><td>Rent, rates and insurance</td><td>25 200(1)</td><td></td></tr>
<tr><td>Depreciation – plant and machinery</td><td>9 400(1)</td><td></td></tr>
<tr><td></td><td></td><td>60 540</td></tr>
<tr><td></td><td></td><td>344 950
(1of)</td></tr>
<tr><td>Add: opening work in progress</td><td>3 600(1)</td><td></td></tr>
<tr><td>Less: closing work in progress</td><td>(3 200)(1)</td><td>400</td></tr>
<tr><td>Production cost / cost of production</td><td></td><td>335 350
(1of)</td></tr>
</table>
</td><td>(9)</td></tr>
</table>

<table>
<tr><th>Question number</th><th>Answer</th><th>Mark</th></tr>
<tr><td>2(c)</td><td>Award marks as indicated.
<table>
<tr><th></th><th>Increase</th><th>Decrease</th><th>No effect</th></tr>
<tr><td>Purchase of plant and machinery</td><td></td><td></td><td>✓ (1)</td></tr>
<tr><td>Increase in the allowance for doubtful debts</td><td></td><td>✓ (1)</td><td></td></tr>
<tr><td>Increase in the closing inventory of finished goods</td><td>✓ (1)</td><td></td><td></td></tr>
</table>
</td><td>(3)</td></tr>
</table>

Type MS · Will profit (or working capital) go up, down or stay the same?

Answer 15 of 17 · Question 2 part c · 3 marks

2019 JUN · Paper 02 (regional R) · extract 3 of 3 · find part c in this mark scheme extract

Question number	Answer	Mark
2(d)	**Award up to 4 marks for comments and 1 mark for a conclusion.** **Sample answer** Dumadi uses the reducing balance method to depreciate his plant and machinery as this is the most suitable method for this type of asset **(1).** This method may have been chosen because his plant and machinery may become out of date quickly **(1)** or the asset may have lower maintenance cost in the early years **(1)** or there may be greater benefits to the business from the use of the asset in the early years **(1).** If Dumadi had chosen the straight line method, the same amount of depreciation would have been charged each year **(1).**	**(5)**

Question number	Answer	Mark
2(e)	**Award marks as indicated. Maximum 2 marks.** Wear and tear **(1)** Obsolescence **(1)** Passage of time **(1)** Depletion **(1)** **Allow other appropriate responses**	**(2)**

(TOTAL FOR QUESTION 2 = 25 marks)

Type MS · Will profit (or working capital) go up, down or stay the same?

Answer 16 of 17 · Question 2 part e · 3 marks

2021 NOV · Paper 02 · extract 1 of 3 · find part e in this mark scheme extract

2(a)	**Award mark as indicated.** **Advantages Max (1)** Additional capital **(1)** More expertise **(1)** Shared work load **(1)** **Disadvantages Max (1)** Shared profits **(1)** Disputes **(1)** Lack of control **(1)** **Accept any other appropriate responses**	**(2)**

Question number	Answer	Mark

2(b) **Award marks as indicated.**

Able and Beena
Appropriation account for the year ended 30 April 2021

	$	$
Profit for the year		26 550 **(1)**
Add interest on drawings		
Able	1 600 **(1)**	
Beena	1 050 **(1)**	2 650
		29 200
Less interest on capital		
Able	(6 000) **(1)**	
Beena	(2 000) **(1)**	(8000)
Less Salary- Beena		(7 200) **(1)**
Profit available for distribution		14 000
Profit share		
Able		10 500 (**1of**)
Beena		3 500 **(1of)**

(8)

Type MS · Will profit (or working capital) go up, down or stay the same?

Answer 16 of 17 · Question 2 part e · 3 marks

2021 NOV · Paper 02 · extract 2 of 3 · find part e in this mark scheme extract

Question number	Answer	Mark
2(c)	**Award marks for each correct date detail and amount in combination**	(6)

Current Account - Beena

Date	Details	Amount $	Date	Details	Amount $
1 May 2020	Balance b/d	2 750	30 April 2021	Appropriation/ interest on capital	2 000 **(1of)**
30 April 2021	Drawings	10 500 **(1)**		Appropriation/ salary	7 200 **(1)**
	Appropriation/ interest on drawings	1 050 **(1of)**		Appropriation/ Profit share	3 500 **(1of)**
				Balance c/d	1 600
		14 300			14 300
1 May 2021	Balance b/d	1 600 **(1of)**			

Question number	Answer	Mark
2(d)	**Award mark as indicated** Partner may have taken more money than allowed. **Accept any other appropriate responses**	(1)

Question number	Answer	Mark
2(e)	**Award marks as indicated**	(3)

Transaction	Increase	Decrease	No effect
A partner withdraws goods for their own use.	✓ **(1)**		
A partner purchases stationery for the business from their own monies.		✓ **(1)**	
A partner introduces capital into the business			✓ **(1)**

Type MS · Will profit (or working capital) go up, down or stay the same?

Answer 16 of 17 · Question 2 part e · 3 marks

2021 NOV · Paper 02 · extract 3 of 3 · find part e in this mark scheme extract

Question number	Answer	Mark
2(f) (i)	**Award 1 mark for each valid point up to a max of 3 marks.** **Sample answer** Interest on drawings will discourage excessive drawings **(1)** which will improve cash flow **(1)** and improve the liquidity of the business **(1)** **Accept any other appropriate responses**	**(3)**

Question number	Answer	Mark
2(f) (ii)	**Award 1 mark for each valid point up to a max of 2 marks.** **Sample answer** Interest on capital acts as a form of compensation to the partner who has invested more **(1)** and therefore encourages partners to invest in the business **(1)** **Accept any other appropriate responses**	**(2)**

(Total for Question 2 = 25 marks)

Type MS · Will profit (or working capital) go up, down or stay the same?

Answer 17 of 17 · Question 2 part d · 6 marks

2020 NOV · Paper 02 (regional R) · extract 1 of 4 · find part d in this mark scheme extract

2 (a) **Award marks as indicated with label.**

Talmur and Soha Appropriation account for the year ended 31 March 2020		
	$	**$**
Profit for the year		65 000
Interest on drawings:		
Talmur	1 000 **(1)**	
Soha	800 **(1)**	
		1 800
Interest on capital:		
Talmur	7 500 **(1)**	
Soha	5 000 **(1)**	
		(12 500)
Salary:		
Talmur		(15 000) **(1)**
Profit available for distribution		39 300
Share of profit:		
Talmur		23 580 **(1of)**
Soha		15 720 **(1of)**
		39 300

(7)

Type MS · Will profit (or working capital) go up, down or stay the same?

Answer 17 of 17 · Question 2 part d · 6 marks

2020 NOV · Paper 02 (regional R) · extract 2 of 4 · find part d in this mark scheme extract

Question Number	Answer	Mark
2 (b)(i)	**Award 1 mark for each correct figure as indicated plus 1 mark for correct dates and details.**	**(6)**

Current Account - Talmur

Date	Details	$	Date	Details	$
1 April 2019	Balance b/d	4 750	31 March 2020	Interest on capital	7 500 **(1of)**
31 March	Drawings	20 000		Salary	15 000 **(1)**
	Interest on drawings	1 000 **(1fb)**		Share of profit	23 580 **(1of)**
	Balance c/d	20 330			
		46 080			46 080
			1 April 2020	Balance b/d	20 330 **(1of)**

Question Number	Answer	Mark
2 (b)(ii)	**Award 1 mark as indicated.** There may be a share of loss **(1).** Or More drawings than available on the account **(1).** **Accept other appropriate responses.**	**(1)**

Type MS · Will profit (or working capital) go up, down or stay the same?

Answer 17 of 17 · Question 2 part d · 6 marks

2020 NOV · Paper 02 (regional R) · extract 3 of 4 · find part d in this mark scheme extract

Question Number	Answer	Mark
2 (c)	**Award 1 mark for an introduction, up to 3 marks for discussion on ratios and 1 mark for a conclusion.** **For example** The partners are incorrect **(1).** The gross profit margin is unchanged over the two years indicating no change in either the selling price or cost price **(1).** The profit for the year as a percentage of revenue has increased indicating that the business is controlling their expenses adequately **(1).** The return on capital employed has decreased indicating that the business is not using the increase in capital employed effectively in generating profit **(1)**. Overall profitability has declined **(1).**	**(5)**

Question Number	Answer	Mark
2 (d)	**Award marks as indicated.**	**(6)**

Transaction	**Increase**	**Decrease**	**No effect**
Purchase of a non-current asset by cash		✓ **(1)**	
Sale of a non-current asset on credit	✓ **(1)**		
Non-current asset taken by owner for own use			✓ **(1)**
Purchase of inventory on credit			✓ **(1)**
Sale of inventory by cash	✓ **(1)**		
Inventory taken by owner for own use		✓ **(1)**	

Type MS · Will profit (or working capital) go up, down or stay the same?

Answer 17 of 17 · Question 2 part d · 6 marks

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